Q HOW DO YOU RATE THE UNION BUDGET? CAN IT HELP ACCELERATE GDP GROWTH TO OVER 8 PER CENT?

DHARMAKIRTI JOSHI: The budget aims to strike a balance between investment and consumption. We expect GDP growth of 6.5 per cent next fiscal. If implemented effectively, the budgetary measures can enhance growth potential. First, the government should ensure that the committed capex is executed, minimising cost and time overruns. Second, prioritising ease of doing business and reducing regulatory hurdles are essential to invigorate the private corporate sector, which has greater financial flexibility for fixed investments. However, the wild card is global turbulence resulting from escalating tariff wars, which will require deft policy and diplomatic efforts to navigate.

ASHIMA GOYAL: I would give it 9/10. It can help accelerate growth, but for growth to reach 8 per cent, other policies also have to contribute. For example, the real repo rate must not be above 1 per cent in terms of expected inflation. But the budget's conservatism and proposed action on enabling vegetable supply should give the MPC [Monetary Policy Committee of the Reserve Bank of India] confidence to bring down rates.

SAMIRAN CHAKRABORTY: The immediate objective of the budget was to give a policy nudge to near-term growth and maintaining the fiscal consolidation roadmap. The immediate growth nudge has come from a larger-than-expected reduction in personal income tax liabilities which is likely to spur consumption while the fiscal deficit projection at an even lower than earlier promised 4.5 per cent of the GDP would improve the credibility of the fiscal consolidation process and preserve macro-stability. The medium-term structural growth outlook would benefit from the seeds sown in the budget of further deregulation, MSME focus and export facilitation.

> **"The budget aims to strike a balance between investment and consumption. If implemented effectively, these measures can enhance growth potential beyond the expected 6.5 per cent"**
> DHARMAKIRTI JOSHI

NEELKANTH MISHRA: By sticking to its fiscal deficit targets set four turbulent years ago, the government has significantly enhanced its credibility. The debt-to-GDP glide paths given for the next five years also provide additional visibility to bond markets—this is part of the maturation of India's fiscal framework, and makes the country stand out from much of the rest of the world. Given the need to meet its committed fiscal deficit target of "below 4.5 per cent of the GDP", there was very limited room for manoeuvre in the budget this year as regards a stimulus. Several non-fiscal reform measures announced in the budget, like the committee to enhance ease of doing business and regulatory reform, measures to increase funding for urban infrastructure, and for increasing supply of pulses and vegetables to bring down inflation, are likely to boost growth prospects over the medium term.

ILA PATNAIK: The Union budget has been balanced. It makes significant adjustments in major sectors such as taxation, energy, urban development, mining, financial services and other regulatory frameworks. These comprehensive reforms aim to boost India's growth potential and global competitiveness during the next five years.... India can still reach 7 per cent growth if all current policy incentives to promote consumption support the investment-led growth that has occurred in the last decade. ■

Q ARE THE PERSONAL INCOME TAX REFORMS SUFFICIENT TO REVIVE CONSUMPTION AMONG THE MIDDLE CLASS?

JOSHI: The revised individual income tax structure is expected to boost the purchasing power of the urban middle class. The tax measures are likely to stimulate urban consumption in fast-moving consumer goods, durables and two-wheelers. The extra money in the hands of the middle class could also be used for savings and debt repayment. Additionally, slowing food inflation is anticipated to support discretionary consumption demand, complementing the budgetary efforts. The budget also emphasises schemes that create physical assets and generate employment, such as urban and rural